Brazil Macro Monthly

Fiscal and monetary policies on a collision course

Highlights

- Global disinflation is underway, and some economies are expected to enter a recession in 2023. China's economy should strengthen amid loosening Covid restrictions, partially offsetting the weakness in global activity;
- Brazilian economy grew above expectations in 2022, but it has been slowing sharply in recent months. Amidst the restrictive monetary policy and the dissipation of the 'post-Covid' impulse, we maintain our GDP growth forecasts: 3% in 2022, 1% in 2023 and 0.8% in 2024;
- 2022 ended with more favorable inflation dynamics. We estimate the 2022 IPCA inflation at 5.6%. For 2023 and 2024, we project 5.4% and 4.0%, respectively, considering tax increases and more expansionary fiscal (and parafiscal) policy signals;
- For 2023 we expect a primary deficit of 1.5% of GDP for the public sector, and government debt to rise from 74.3% of GDP to 79.2% of GDP on the back of spending increases after the 'transition constitutional amendment' approval. A new framework will be key to anchor expectations on fiscal consolidation for next years;
- The increase in fiscal uncertainties continues to pressure the Brazilian exchange rate, which has diverged from emerging peers in the last two months. We maintain our projections of BRL/USD 5.30 for YE2023 and BRL/USD 5.40 for YE2024;
- The increasing fiscal risk should pressure inflation expectations, limiting the room for interest rate cuts. We see the benchmark Selic rate at current levels throughout this year. If the government implements a credible fiscal anchor, we see space for some monetary easing in 2024.

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XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)	2024 (F)
GDP growth (%)	1.8	1.2	-3.3	4.6	3.0	1.0	0.8
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.0	8.7	9.3
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.6	5.4	4.0
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.22	5.30	5.40
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.3	0.7	1.2	-1.5	-1.1
Gross debt (% GDP)	75.3	74.3	86.9	78.8	74.3	79.2	83.6
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	62.3	59.0	56.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	335.0	347.5	350.8
Imports (USD Bn)	185.3	185.9	158.8	219.4	272.7	288.5	294.8
Current Account (USD Bn)	-54.8	-68.0	-28.2	-46.4	-54.0	-64.5	-67.0
Current Account (% GDP)	-2.9	-3.6	-1.9	-2.8	-3.0	-3.2	-3.3
FDI (USD Bn)	78.2	69.2	37.8	46.4	84.5	78.3	76.0
FDI (% GDP)	4.1	3.7	2.6	2.8	4.4	3.9	3.7
Nominal GDP (USD Tri)	1.92	1.87	1.48	1.64	1.91	2.00	2.05
Nominal GDP (BRL Tri)	7.00	7.39	7.61	8.90	9.88	10.46	10.97

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Adjustment in 2022, rebalancing in 2023. In Brazil, the focus will be on fiscal issues.

2022 was a year of adjustment for the world economy. At the beginning of the year, it was already clear that the anti-Covid measures – on both social distancing and on stimulus to demand – were starting to do more harm than good. Global inflation ballooned, further boosted by the war in Ukraine.

During the year, restrictions on transport eased, leading to the normalization of global supply chains and freight prices. On the demand side, several central banks stepped up interest rate hikes, reducing liquidity and bringing markets down.

The adjustment is not over yet, especially in monetary policy. But we believe it will eventually work. Inflation should retreat in the second half, opening room for a gradual policy easing. The economy will still suffer, especially services and the labor market. But it is possible that growth expectations for the coming years will improve throughout 2023.

Two facts are particularly positive for Brazil under this scenario. Elevated commodity prices – which should remain, due to supply issues and China´s economic reopening – and the global trend towards 'greener economies'.

In Brasil, perhaps due to this favorable environment, and the fact that Brazilian assets were already undervalued, the recent increase in fiscal uncertainties has not significantly hit the FX and equity markets.

In the future interest rates market, it has been different. The market began to price in higher policy rates for longer, in response to the more expansionary fiscal policy signaled by the future government. Indeed, last month we changed our interest rate forecast from 10.00% to 13.75% at the end of 2023.

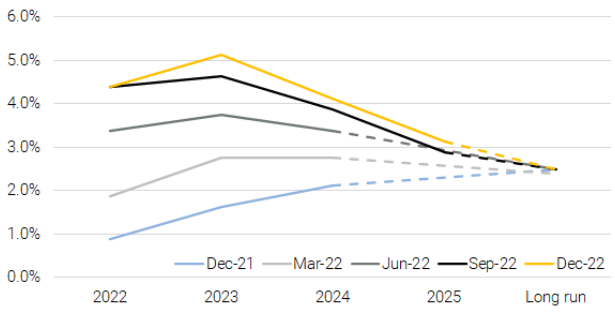
We see the fiscal expansion signaled by the future government as inconsistent with a stable inflation target of 3%. We anticipate increasing tension between the Executive branch and the Central Bank. We even do not rule out a discussion on raising the inflation target at some point throughout the year (which would only fuel inflationary dynamics, as Argentina's recent experience has shown).

Other key themes for economic policy this year will be the possible proposals to increase the tax burden (tax on fuels, on wealth, on dividends), the new fiscal framework to replace the constitutional spending cap, and the tax reform that should create a national VAT.

Global Backdrop: Disinflation, with a cost

In the US, the Fed kept a hawkish stance. Despite the downside surprises in the latest CPI prints and most leading indicators suggesting that disinflation is underway, members of the FOMC continue to signal additional rate hikes in their economic projections. Given the Fed's assessment that inflation is the largest threat to the US economy, we believe that members are trying to keep the hawkish tone to contain inflation expectations. We expect the Fed to hike rates in subsequent meetings until there are clearer signs that the economy is decelerating (including the labor market), and inflation is converging to the 2% target. But it seems to us that interest rate forecasts are peaking and will no longer keep shifting up as they did throughout last year (see chart).

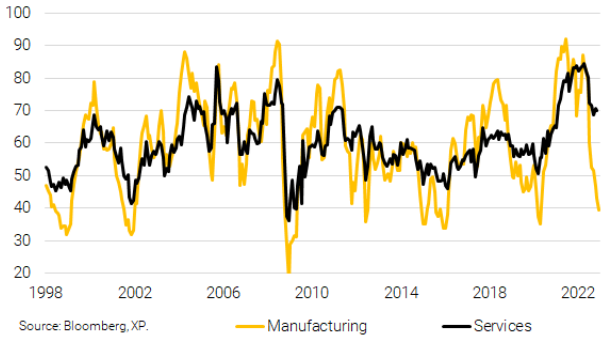
Interest rates expectation shifted significantly but should stabilize
Fed Funds Rate middle-bound (SEP median)



Source: FED, XP.

The key question is: when will the Fed cut rates? Financial conditions have already become restrictive, which will likely drive the US economy into a recession. The intensity of the recession will depend on how long interest rates will have to remain in restrictive territory rather than how much further the Fed will tighten. We expect the disinflationary process to advance materially in the first half of 2023, which may allow the Fed to start cutting rates by the end of this year. Still, risks are tilted to the upside. Goods inflation has eased materially in recent months, although services inflation (57% of the CPI basket) remains pressured. We expect services inflation to stabilize in the coming months, and the evolution of this index will be key for the future of Fed monetary policy and of the US economy as a whole.

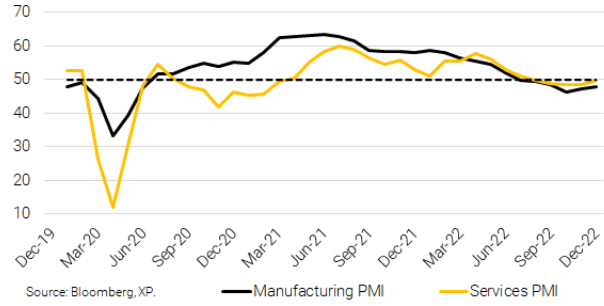
Goods inflation eased and services inflation is expected to follow
United States ISM Prices Paid PMI



Source: Bloomberg, XP.

In Europe, positive surprises in economic activity, while the ECB has become (much) more hawkish. High levels of uncertainty amid the war in Ukraine and historically high inflation will most likely drive the European economy into a recession this year. Nevertheless, recent data show that, so far, the European economy is resisting entering deep contractionary territory, supported by improvements in global supply chains. Regarding monetary policy, the ECB decelerated the tightening pace to 50bps in its last meeting, in line with expectations. Still, the communication stated that "interest rates will still have to rise significantly at a steady pace to reach levels that are sufficiently restrictive to ensure a timely return of inflation to the 2% medium-term target." Since then, the market pricing of the main refinancing terminal rate has increased from 2.75% to 3.50%. Tighter financial conditions will be an additional headwind for the European economy in 2023.

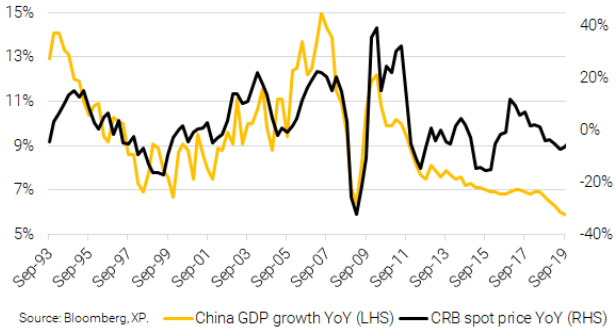
European economy resists entering deep contractionary territory
Eurozone S&P Global PMI (above 50, expansion; below 50, contraction)



Source: Bloomberg, XP.

China's reopening advances considerably. The Chinese government recently announced removing quarantine requirements for travelers, marking a significant advance toward easing Covid restrictions. Given that low inflation has allowed for expansionary monetary and fiscal policy throughout the whole of last year, we believe the reopening of the economy will boost consumption, and GDP should grow north of 5% in 2023, partially offsetting the weakness in other regions. Still, the recent spike in Covid cases poses risk to these expectations.

China economic growth pressures commodity prices
China GDP and CRB Commodity Price Index



Source: Bloomberg, XP.

Commodity prices should remain at elevated levels. The global disinflation process should gain traction in 2023, in line with the tighter monetary policy and the normalization of global supply chains. That said, the reopening of China and supply constraints on grains and energy should keep commodity prices at high levels.

Brazil: Fiscal and monetary policies on a collision course

Economic Activity – New year, new pace of growth

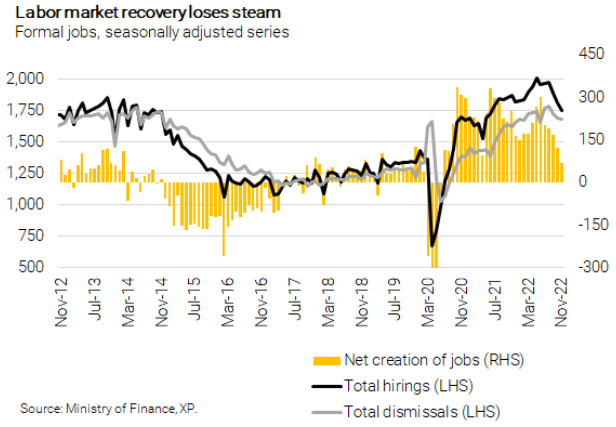
Brazil's GDP grew above expectations in 2022, but it has been decelerating significantly in the recent period. We estimate that the Brazilian economy expanded by 3% in 2022, with a consistent recovery for most sectors. Nonetheless, activity indicators slowed sharply in the second half of the year. In this regard, headline GDP remained flat in Q4 compared to Q3 as per our forecasts (an increase of 2.3% from Q421). If that forecast proves accurate, the statistical carry-over effect for 2023 GDP growth will be 0.5pp.

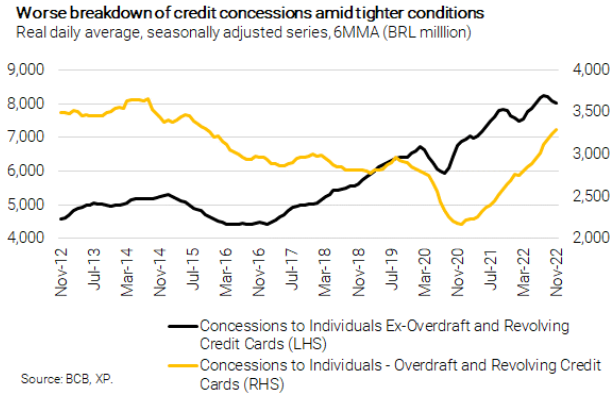
Labor market recovery loses steam. The net creation of formal occupations (CAGED report) remains on a slowdown path. Based on our seasonally adjusted estimates, the balance of jobs creation dropped from an approximate monthly average of 200k between January to September to 120k in October and 70k in November. The latest data available from the Continuous PNAD (National Household Sample Survey) have also presented a weaker dynamic of the employed population, considering all categories of workers. On the brighter side, real labor earnings continue to rise, although still running below pre-pandemic levels.

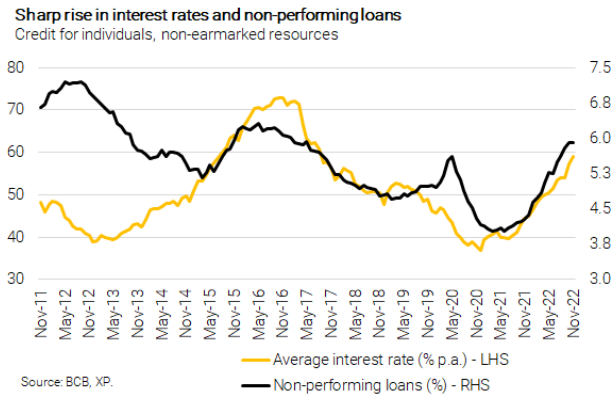
Tighter credit conditions. Total credit concessions are still hovering at high levels, however with heterogeneous signals among categories. Regarding individuals, emergency lines of credit – such as overdraft and revolving credit cards – record a sharp increase, whereas lines linked to personal credit and purchase of durable goods are weakening. The household debt service ratio remains at worrying levels, and non-performing loans have risen in recent months. Market analysts will likely pay close attention to these indicators throughout the current year.

Amidst the restrictive monetary policy and the dissipation of the 'post-Covid' impulse, GDP is expected to rise by 1% in 2023. The worsening of financial conditions – heightened risk perception added to rising interest rates – have weighed on domestic activity. For example, the latest figures of industrial production and retail sales were tepid, especially for semi-durable and durable consumer goods. Similarly, we have noticed signs of stabilization in the service sector after the strong 'post-Covid' impulse. Furthermore, there have been mounting concerns about recession in the global economy. Conversely, some factors (in addition to the positive statistical carry-over effect from last year's GDP, as mentioned before) should act as a counterweight and, as a result, allow for a modest increase in 2023 GDP.

First, sectors less sensitive to economic cycles, such as agriculture, livestock, and extractive industries, are expected to grow sharply this year. Investments in infrastructure (e.g., sanitation and transport) should also be resilient. Additionally, the gradual recovery of wages and government cash transfers should help ease the weakening of household spending (we anticipate real that household disposable income should grow by 2.5% versus 2022), especially through the consumption of non-durable goods and services. Lastly, the economic



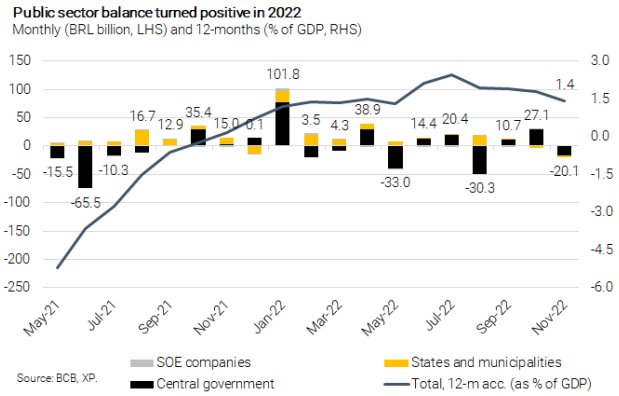




reopening in China, Brazil's main trade partner, may offset the impact of the recession in the US and Europe.

The deteriorating fiscal outlook impacts medium-term economic growth projections. The likely rise in primary expenditures and government debt in the coming years may lead to higher inflation and interest rates for longer, as discussed in upcoming sections of this report. This scenario explains, to a large extent, the expectations of low dynamism for the Brazilian economy looking forward.

We forecast 2024 GDP growth at 0.8%. For now, we continue to anticipate a modest performance for the local activity next year. In our view, the maintenance of the monetary policy in contractionary territory counterbalances the prospects of a rebounding global economy. Therefore, GDP growth should remain below potential (which we estimate nearly 2% per year) over the projected horizon, resulting in increased idle capacity. For a more in-depth discussion on this subject, see the report *XP Macro Special: Discussions on cyclical recovery and structural economic growth*.



Fiscal – Debt-to-GDP ratio to increase by 10pp in two years

Public sector should record a primary surplus of 1.2% of GDP in 2022. The central government ended November with a deficit of BRL 16.5 billion, due both to a slowdown in tax collections and a significant increase in social expenses. States and municipalities, in turn, kept the recent negative trend caused by ICMS-tax cuts on fuels and electricity, reaching a deficit of BRL 3.7 billion in the month. **Taking November numbers into account, we reduced our primary surplus projection for 2022 from BRL 55.2 billion to BRL 52.8 billion (0.5% of GDP) for the central government, and from BRL 67.5 billion to BRL 65.9 billion for regional governments (0.7% of GDP).**

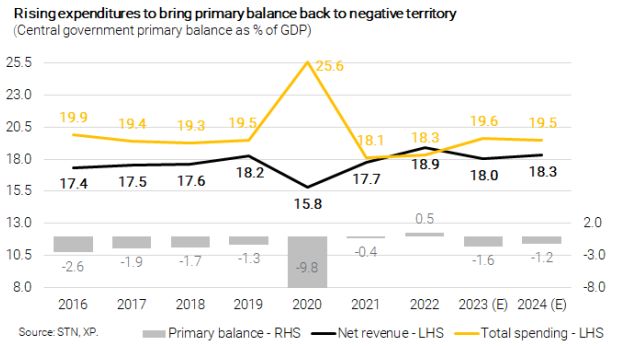
Recent fiscal expansion measures	
Measures	BRL billion
Increase in the constitutional spending cap	145
Pub. Investment allowed above the cap	23
Pub. agencies spendings allowed above the cap	1
Spending cap ajusted by outdated IPCA forecast	24
Nursing minimum-wage allowed above the cap	17
Total	210

Strong spending growth in 2023... The 2023 budget was approved considering an inflation projection much higher than the market consensus (7.2% against 5.6%), which "inflated" the spending cap by about BRL 24 billion. In addition, the constitutional amendment approved at the end of 2022 allowed the new government to increase expenditures by approximately BRL 170 billion above the spending cap rule this year.

...with no funding. The PIS/Cofins tax rates exemption on fuels, at the cost of BRL 54 billion per year, was partially extended. As a result, only BRL 29 billion is expected in revenues (from these sources) this year. So far, there has been no announcement of additional measures that could rebalance the budget in 2023, either on the revenue or expenditure side.

Thus, we raised our 2023 Central Government deficit forecast from BRL 106.9 billion (1.0% of GDP) to BRL 167.0 billion (1.6% of GDP).

For 2024, considering that expenses will continue to grow above inflation and that the approval of significant increases in the tax burden seems unlikely (though we believe the government will try), we estimate a deficit of BRL 129.8 billion (1.2% of GDP) for the Central Government.



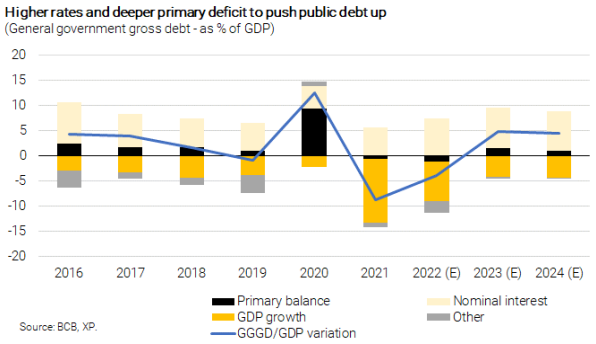
States will also have a tough year. There has been a deterioration in the state's fiscal position largely due to ICMS-tax cuts on electricity and

fuels implemented in mid-2022. There is an ongoing discussion to revert that measure, but the outcome of it remains unclear. **Thus, we estimate a substantial deterioration in the primary result of regional governments in 2023 and 2024, reaching 0.1% of GDP.**

Public debt on the rise. Gross General Government Debt is expected to end 2022 at 74.3% of GDP, down 4pp year-over-year and below pre-pandemic levels. But the fiscal expansion that we expect in our baseline scenario will probably revert this positive result through deeper primary deficits and higher interest payments. **Hence, we forecast that gross debt will reach 83.6% of GDP in 2024, almost 10pp above current levels.**

New fiscal framework will be key to reducing additional uncertainties. The government announced it will propose a new fiscal anchor to replace the current expenditure cap. For that to be credible, we believe it must contain a spending control mechanism similar to the current cap, albeit with more flexibility to accommodate shocks. The success of the new framework is key for Brazil's sustainable growth in the coming years.

Discussions on tax reform may advance, which would be good news. We believe the government will push for the national VAT proposal embodied in the Constitutional Amendment 45/2019. The Senate speaker, Mr. Rodrigo Pacheco, signaled recently that this should be a priority for the year. There is, however, the risk that the need to increase tax revenues forces the government to propose a "too-elevated" VAT rate, which could make the reform´s approval more difficult.



Inflation – Fiscal expansion may jeopardize disinflation

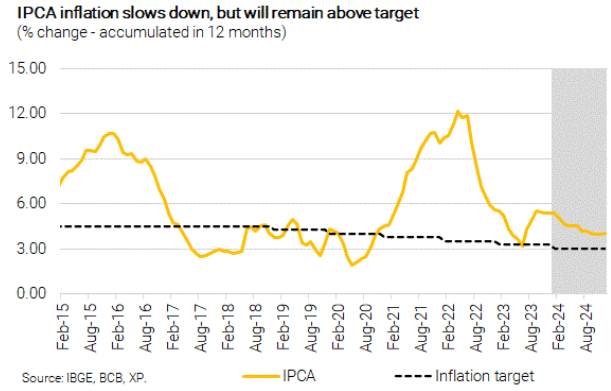
The inflationary dynamics was more benign at the end of 2022, which should continue in the coming months. Goods inflation is on a clear declining path and services prices have risen less than expected. **We estimate IPCA inflation at 5.6% in 2022 and 5.4% in 2023** (with a 65bps contribution from the reversal of tax cuts on fuels).

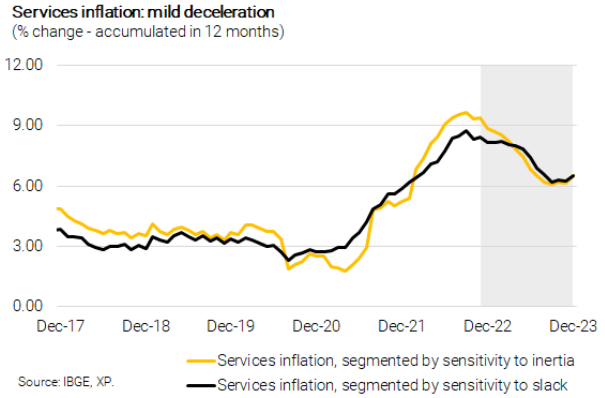
Food and industrialized goods to be the drivers of disinflation ahead. Favorable weather conditions and lower production costs should boost agricultural output this year. Industrialized goods benefit from the normalization of global supply chains and lower domestic demand. China reopening and the war in Ukraine are risks to this scenario.

On the demand side, high interest rates and a slowdown in economic activity have become more intense. The effects of contractionary monetary policy are becoming more evident. Tighter credit conditions already affect aggregate demand and limit price increases, especially for consumer durable goods.

We estimate 6.2% services inflation this year. We replicated the exercise presented by the Central Bank in its latest Inflation Report, that estimates the effects of the economic cycle and the stickiness (inertia) on services inflation. Our estimates suggest that inflation will fall because of both reasons, but only gradually, remaining above the upper limit of the target range (see chart). In fact, even with economic activity losing steam, the expected fiscal expansion should prevent a more significant decompression on services prices.

Higher taxes are an additional risk for inflation in the short term. We maintain in our baseline scenario the reversal of temporary tax exemptions on PIS/Cofins and Cide (federal taxes on fuels) this year,





despite the recent two-month extension. States may also try to increase taxes on fuels end electricity to reduce their fiscal imbalances.

For 2024, the main risk lies in the more expansionary fiscal and quasi-fiscal policies. The government signaled higher spending and a greater role to state-owned banks in the credit market. This tends to add pressure to aggregate demand and inflation expectations, making the convergence of inflation to the target path more difficult.

Therefore, we forecast IPCA inflation at 4.0% in 2024, above the 3.0% target established by the National Monetary Council.

External Sector: Brazilian exchange rate diverges from emerging peers

The increase in fiscal uncertainties continues to pressure the exchange rate. Despite being the best performing currency among 23 emerging market peers in 2022, concerns about economic policies under the new government, with emphasis on the dynamics of public finances, led to a strong depreciation in the Brazilian exchange rate in the last two months. When compared to 23 other emerging currencies against the US dollar (see chart), only the Russian Ruble and the Argentine Peso depreciated more than the Brazilian Real in the period, with 18 currencies recording appreciation. In other words, the increase in domestic risks seems to have more than offset the improvement in external drivers, such as the virtual stabilization of international commodity prices at high levels and the weakening of the US dollar against a basket of strong currencies (DXY).

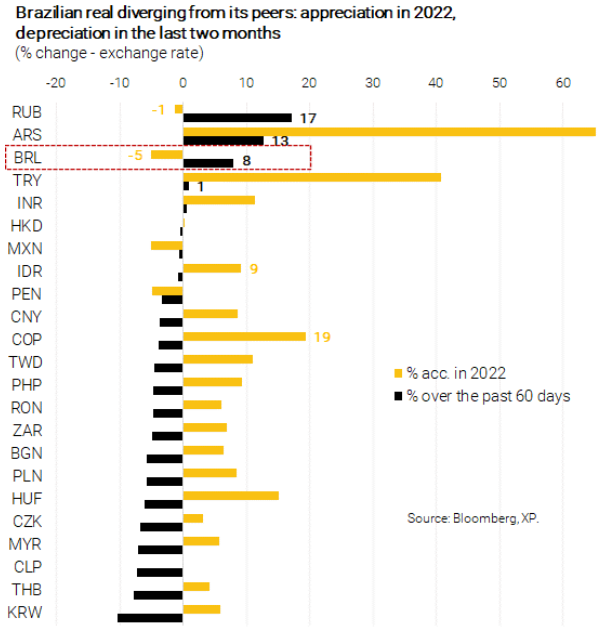
Recent dynamics reinforce our forecasts for a depreciated exchange rate in 2023 and 2024. The worsening of the fiscal outlook and its potential effects on inflation, interest rates and economic activity are likely to maintain the Brazilian exchange rate at high levels. In turn, we believe that the economic reopening in China and global disinflation should act as a counterweight, preventing a more significant depreciation compared to current quotes. We forecast BRL/USD 5.30 at the end of 2023 and BRL/USD 5.40 at the end of 2024 (the exchange rate ended 2022 at BRL/USD 5.22). According to our estimates, had it not been for the increase in domestic risks, the exchange rate could have reached levels below BRL/USD 5.00 at the end of last year.

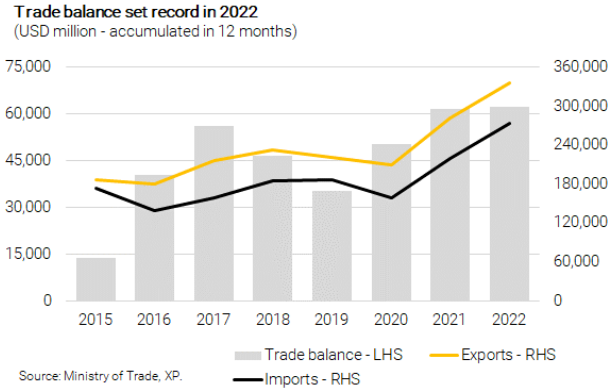
The favorable dynamics of the Brazilian external accounts persist, despite global and domestic uncertainties. We project that the current account deficit will reach USD 54.0 billion by the end of 2022 (-3.0% of GDP), against the projection of USD 57.8 billion. In turn, we forecast that FDI reached USD 84.5 billion this year (4.4% of GDP), the same projection as the previous month. For 2023 and 2024, the current account deficit is forecasted to increase to USD 60.5 billion (-3.0% of GDP) and USD 63.0 billion (-3.1% of GDP), respectively. Meanwhile, FDI is expected to yield USD 77.0 billion (3.9% of GDP) at the end of 2023 and USD 76.0 billion (3.7% of GDP) in 2024.

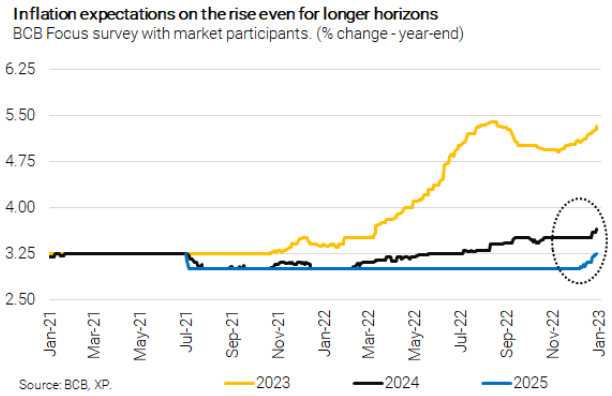
Monetary Policy – Fiscal expansion should keep pressure on rates

We continue to see short-term inflation on a positive trend, keeping the Central Bank comfortable for now. Global disinflation and domestic economic deceleration should keep consumer inflation on a downward trend. Recent IPCA data show decompression even in stickier groups, like services prices.

However, as we pointed out in our December monthly report, **the fiscal expansion signaled by the constitutional amendment approved recently (see more in the fiscal section above) should eventually put**







pressure on inflation expectations, increasing the monetary policy challenge. In fact, the central bank incorporated this risk in its recent official communication (Copom minutes, Inflation Report).

Considering these two opposite forces, **we continue to see the Copom keeping the Selic rate at current contractionary levels throughout this year**, in order to offset the expansionary fiscal policy.

Under the hypothesis that i) the next fiscal framework will lead to more sustainable debt dynamics, ii) the role of public banks in the credit market will be limited, and iii) the inflation target for 2024 and 2025 will remain at 3.0%, we see room for the Selic rate to fall to 10% in 2024 (6% real interest rate, considering our 4% IPCA forecast for next year).

Against this background, **we see increasing tension between the Central Bank and the Executive Branch this year.** As the economic activity loses steam and government debt dynamics worsens, the pressure on the BCB to cut rates tends to increase. We even do not rule out a discussion on raising the inflation target at some point throughout the year (which would only fuel inflationary dynamics, as Argentina's recent experience has shown).

XP Forecasts

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Exports (USD Bn)	231.9	221.1	209.2	280.8	335.0	347.5	350.8
Imports (USD Bn)	185.3	185.9	158.8	219.4	272.7	288.5	294.8
Current Account (USD Bn)	-54.8	-68.0	-28.2	-46.4	-54.0	-64.5	-67.0
Current Account (% GDP)	-2.9	-3.6	-1.9	-2.8	-3.0	-3.2	-3.3
FDI (USD Bn)	78.2	69.2	37.8	46.4	84.5	78.3	76.0
FDI (% GDP)	4.1	3.7	2.6	2.8	4.4	3.9	3.7
Nominal GDP (USD Tri)	1.92	1.87	1.48	1.64	1.91	2.00	2.05
Nominal GDP (BRL Tri)	7.00	7.39	7.61	8.90	9.88	10.46	10.97

Source: IBGE, BCB, Bloomberg, XP.

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